Tesla, Inc.

NASDAQ: TSLA | Consumer Discretionary — EV / AI / Energy | 25 July 2026

HOLD **Prob-weighted ~$297 · range $125–$600** | CMP: $313 (24-Jul-2026) | Rating: HOLD

Investment Summary

Tesla is the hardest name in this coverage to value, and honesty demands saying so. After a Q2 FY2026 report on 22 July that beat on revenue but missed badly on profit, the stock fell ~15% in a day — its biggest one-day drop in over a year — to $313, near its 52-week low and down ~17% for 2026. Yet even after that fall it is not cheap: on DCF-consistent multiples its entire core business — cars, energy, services and net cash — is worth only ~$77/share, so more than 70% of the price is an option on autonomy. We rate HOLD, but our probability-weighted fair value of ~$297 sits about 5% below the market.

Scenario / real-options framework. A conventional multiple is not meaningful (~290x earnings), so we value Tesla as core plus a probability-weighted option on autonomy and Optimus. The car business, barely profitable at a 1.4% operating margin with ASPs still falling, is worth only ~$30/share on a DCF — consistent with Street sum-of-the-parts work; adding energy, services and ~$36bn net cash lifts the full core to ~$77/share. At $313 the market therefore pays ~$236/share — over 70% of the price — for the autonomy option. We weight three outcomes, anchored to the actual analyst range: Bear (37%, autonomy underdelivers → ~$125, Wells Fargo's Sell case), Base (43%, robotaxi scales slowly → ~$305), Bull (20%, robotaxi + Optimus inflect → ~$600, Wedbush's bull case). That yields a probability-weighted ~$297 — about 5% below today's $313. The ~$125–$600 range is the real message; the point estimate is almost meaningless.
That is because the market is not pricing the car business. The ~$1.0 trillion valuation is an option on autonomy (robotaxi and Full Self-Driving), the Optimus humanoid robot, and a fast-growing energy-storage franchise. Those are real but unproven, with wide, binary outcomes and timelines that keep moving.

We rate Tesla HOLD — but this is a HOLD with a downside tilt: our ~$297 fair value sits below both the market ($313) and the Street's ~$405 average target. Even after a 15% crash the stock still discounts a robotaxi ramp that management itself just described more cautiously, while free cash flow has turned negative to fund it. We respect the optionality and the execution record and will not bet against the narrative, but we would not add here; a rally back toward $350+ without fundamental progress would push us toward REDUCE. Size any position to conviction on autonomy, not to the quarterly numbers.

Snapshot

Metric	Value	Note
Market cap	~$1.0 trillion	≈3.23bn shares
FY2025 revenue	$94.8bn (−3%)	Auto pricing pressure; energy growing
FY2025 net income / EPS	$3.8bn / $1.08	Down from $2.04 in FY2024
Valuation	~290x trailing P/E	Meaningless on current earnings
What you're buying	Autonomy + Optimus + Energy	Option value, not the car P&L

Q2 FY2026 Results Review

In Q2 FY2026 (reported 22 July), Tesla posted record revenue of $28.2bn, up 26% year on year, on a record 480,126 deliveries (+25%) — its first delivery growth in two years. But profitability disappointed: adjusted EPS of $0.33 missed hard (consensus ~$0.51), gross margin slipped to 16.8% (from 17.2%; automotive ex-credits fell to 16.3% as ASPs slid), operating income fell 57% to $398m — a 1.4% operating margin — and free cash flow turned negative at −$1.1bn as management raised 2026 capital expenditure above $25bn to fund robotaxi, Optimus and AI compute. The stock fell ~15% on the print, its worst day in over a year, briefly pushing the market cap below $1 trillion. The quarter describes a company deliberately trading near-term profit for an autonomy option whose payoff remains unproven.

Valuation

We deliberately decline to publish a single point target, because a defensible one doesn't exist. A DCF on the auto-and-energy business as it stands supports a fraction of the current price; the balance is option value on Full Self-Driving / robotaxi economics and on Optimus reaching commercial scale — both of which are step-function, low-probability-of-precise-estimate outcomes.

The honest framing: at ~290x earnings, valuation offers no support if the autonomy timeline slips. The stock will trade on execution milestones (robotaxi rollout, FSD safety data, Optimus units) rather than on quarterly financials. HOLD reflects that the risk-reward is a coin-flip on narrative, not a mispricing we can quantify.

Key Risks

- Automotive demand and margin pressure in a competitive EV market.
- Autonomy timelines (robotaxi/FSD) slipping — the core of the valuation.
- Optimus commercialisation risk (unproven at scale).
- Extreme valuation: no earnings support if sentiment turns.
- Key-person and political/brand risk.

Company Overview

Tesla designs and sells electric vehicles, energy generation and storage systems, and is developing autonomous-driving software (FSD/robotaxi) and the Optimus humanoid robot. It is the most valuable automaker in the world by a wide margin, with a valuation that reflects expectations for autonomy and robotics far more than its current vehicle-and-energy earnings.

Tesla (TSLA) — Scenario / Real-Options Valuation

USD bn / per share. 3,234M shares; net cash ~$36bn; mkt cap ~$1.0T at $313. Live $313 (24-Jul-2026, post-Q2). Core on DCF-consistent multiples; a conventional P/E (~290x) is not meaningful — see Peer Comps.

CORE BUSINESS (SOTP)

Segment	Revenue ($bn)	Multiple	Value ($bn)	Basis
Automotive	69.5	1.4	97	Barely profitable; ~$30/sh (Street DCF)
Energy gen & storage	12.8	6	77	High growth (~27%), margins rising
Services & Supercharging	12.5	3	38	Recurring + low-margin used cars
Net cash	36	1	36	Balance sheet
Core business value ($bn)			248	
Core value per share ($)			77	

AUTONOMY + OPTIMUS OPTIONALITY (scenario-weighted)

Scenario	Probability	Optionality/sha	Value/share = core + option ($)
Bear — autonomy underdelivers; mostly carmake	37%	48	125
Base — robotaxi scales slowly; option slightly rich	43%	228	305
Bull — robotaxi + Optimus inflect (≈ Wedbush $6(	20%	523	600

PROBABILITY-WEIGHTED VALUE & RATING

Probability-weighted value / share ($)	297		
Current price ($)	313		
Upside / (downside)	-5.1%		
Scenario range ($/share)	125	to	600
Rating	HOLD		

Analyst view: on DCF-consistent multiples the car business alone is worth only ~$30/share (Street SOTP); our full core (auto+energy+services+cash) ~$77. At $313 the market pays ~$236/share for autonomy — >70% of the price. Probability-weighted fair value ~$297, about 5% BELOW the price: even after the 15% drop, Tesla is not cheap. HOLD with a downside tilt; would turn cautious on any rally without fundamental improvement.

Q2 FY2026 (22-Jul): record revenue $28.2bn (+26%) and 480,126 deliveries (+25%), but adj EPS $0.33 miss (cons ~$0.51), 16.8% gross margin, 1.4% operating margin, FCF −$1.1bn, 2026 capex raised >$25bn. Stock fell ~15% on the print — worst day in over a year — briefly dipping market cap below $1T.